

DeFi Deep Dive

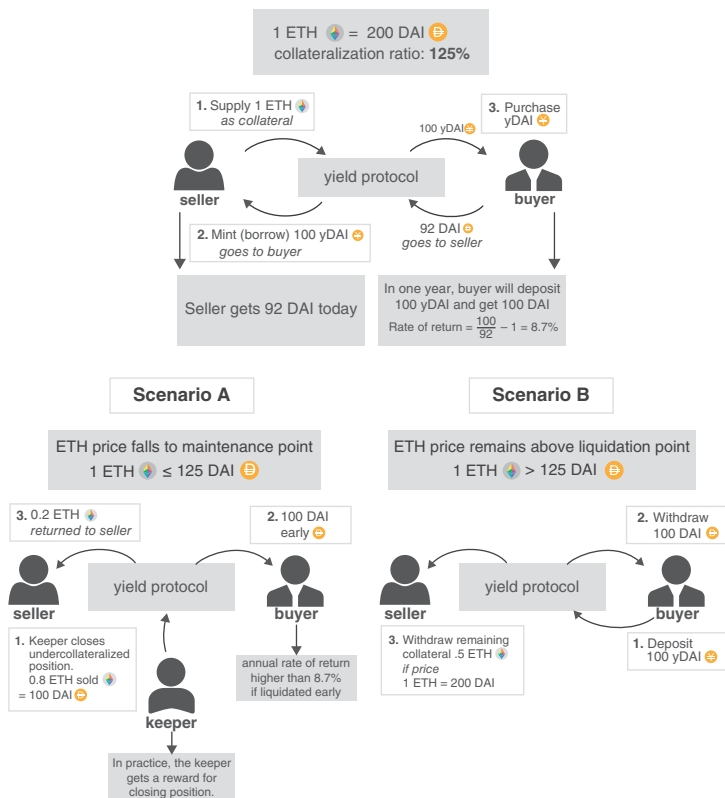


Figure 6.8 The Mechanics of Fixed-Rate Borrowing in the Yield Protocol

underlying asset is not directly repaid but instead is rolled into an equivalent amount of that asset pool on a lending platform such as Compound. Synthetic settlement means that yDAI could settle in cDAI, converting the fixed rate into a floating rate. Buyer could close the position and redeem cDAI for DAI at their leisure. The Yield Protocol